In 2000, the government allowed the ICICI to go for a **reverse merger** (when an elder enterprise is merged with a younger one) with the ICICI Bank – the first AIDB emerged with no obligation of project financing.

In a similar move, the IDBI was reverse merged with the IDBI Bank in 2002 and the second AIDB emerged. But it has still the obligation of carrying its project financing duties.

In 2004 (by the NDA Government), a proposal was discussed to allow a merger of the FIs merging the IFCI and IIBI with the nationalised bank PNB and thus would have emerged India's first **Universal Bank**[24]. But the proposal is now almost sidelined with the political mandate changing at the centre.

Meanwhile, the GoI considers only **four** institutions as the AIFIs ***regulated*** by the RBI, viz. the EXIM Bank, NABARD, NHB and SIDBI. Rest of them have either become 'development/universal banks' or are under their process of 'restructuring' in the direct preview of the Ministry of Finance. In 2001-02, the GoI had tried to merge the IFCI and IIBI into the nationalised bank PNB to mark the beginning of a very big bank of international stature (in pursuant to the suggestions of the Narasimhan Committee-II following its 3-Tier Banking Structure of India). But the move could not materialise as the PNB probably backed out of the proposal (due to heavy due losses of these AIFIs)[25].

2. Specialised Financial Institutions (SFIs)[26]

Two new FIs were set up by the central government in the late 1980s to finance the risk and innovation in the area of industrial expansion. They were India's first trial in the area of **venture capital**:-

(i) Risk Capital and Financial Corporation Ltd (RCTC) set up in 1988

(ii) Tourism Finance Corporation of India Ltd (TFCI) set up in 1989.

(iii) IFCI Venture Capital Funds Ltd. (IFCI Venture) was promoted as a Risk Capital Foundation (RCF) in 1975 by the IFCI Ltd., a society to provide financial assistance to first generation professionals and technocrat entrepreneurs for setting up own ventures through soft loans, under the Risk Capital Scheme.